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IN THE CIRCUIT COURT OF APPEALS OF ARKANSAS

SC APARTMENTS AR, LLC	**APPELLANT**
V.	**CASE NO. CV-24-70**
BERKADIA COMMERCIAL MORTGAGE, LLC	**APPELLEE**

ON APPEAL FROM
THE CIRCUIT COURT OF PULASKI COUNTY, ARKANSAS

HONORABLE LATONYA AUSTIN-HONORABLE CIRCUIT JUDGE

PLAINTIFF-APPELLEE BERKADIA COMMERCIAL MORTGAGE, LLC'S MOTION TO DISMISS APPEAL AS MOOT AND MEMORANDUM OF AUTHORITIES IN SUPPORT

Plaintiff-Appellee Berkadia Commercial Mortgage, LLC ("**Lender**"), by and through counsel, pursuant to Ark. R. Sup. Ct. Rule 2-1, moves to dismiss as moot this interlocutory appeal filed by Defendant-Appellant SC Apartments AR, LLC ("**Borrower**").

Upon appeal, the appellate court must first determine whether the appeal is moot because to review a moot issue would be to improperly render an advisory opinion. *See Gray v. Thomas-Barnes,* 2015 Ark. 426, at 5, 474 S.W.3d 876, 879

(2015). An appeal is moot when any judgment rendered would have no practical legal effect upon a then-existing legal controversy. *Id.*

Here, with the goal being to vacate the Order Appointing Receiver entered by the Circuit Court of Pulaski County, Arkansas ("**Lower Court**") on October 30, 2023 ("**Receiver Order**"), pending further proceedings in the Lower Court, Borrower has appealed both the Receiver Order and Borrower's Motion to Vacate or Set Aside the Receiver Order that was deemed denied on December 3, 2023. (RP 1535, 319, 364). Borrower's goal, however, has already been achieved by the actions of the Lower Court when the Lower Court: (a) stayed execution and enforcement of the Receiver Order on November 26, 2023, pending further Orders of the Lower Court; and (b) vacated the Receiver Order on January 16, 2024 ("**Vacation Order")**, pending an evidentiary hearing on Lender's Ex Parte Verified Motion for Appointment of Receiver ("**Receiver Motion**"). (RT 1, 46, 47); (RP 426-427); (RP 1542-1544). A true and accurate copy of the Vacation Order is also attached hereto as **Exhibit 1**.

Accordingly, there is no present, actual controversy before this Court, and there is no relief to be granted by this appeal that has not already been granted by the Lower Court.

MEMORANDUM OF AUTHORITIES IN SUPPORT OF MOTION

Introduction

This is an interlocutory appeal by Defendant-Appellant SC Apartments AR, LLC ("**Borrower**") of the following: (a) the Order Appointing Receiver entered by the Circuit Court of Pulaski County ("**Lower Court**") on October 30, 2023 ("**Receiver Order**"), which appointed a receiver for the Mortgaged Property (defined below); and (b) Borrower's Motion to Vacate or Set Aside the Receiver Order ("**Motion to Vacate**") that was deemed denied on December 3, 2023. (RP 1535, 319, 364).

The goal of the appeal is to secure a ruling that the Receiver Order is vacated pending an evidentiary hearing by the Lower Court. This goal, however, has already been achieved by the actions of the Lower Court when the Lower Court did, in fact, stay the Receiver Order, conduct a hearing on the Motion to Vacate, and enter an Order granting the Motion to Vacate ("**Vacation Order**") in order to schedule an evidentiary hearing on Lender's Ex Parte Verified Motion for Appointment of Receiver ("**Receiver Motion**"). (RT 1, 46, 47); (RP 1542-1544). Thus, the appeal is moot and should be dismissed.

Procedural Background

On October 5, 2023, Lender commenced the underlying action against Borrower by filing its Verified Complaint for Appointment of Receiver

("**Complaint**") due to: (a) Borrower's failure to pay the full indebtedness owed under the $4,542,000.00 loan ("**Loan**") made by Lender to Borrower pursuant to that certain Loan Agreement, as modified and extended, ("**Loan Agreement**", and together with all documents evidencing and securing the Loan, the "**Loan Documents**") on its June 1, 2023 Maturity Date, almost ten (10) months ago; (b) Borrower's failure to pay a $500,000.00 Reinstatement Paydown by March 15, 2023, as required under the Loan Documents; and (c) Borrower's failure to complete certain repairs related to fire, life or safety issues in accordance with the Loan Agreement. (RP 6-249). Pursuant to that certain Multifamily Mortgage, Assignment of Lease and Rents, Security Agreement and Fixture Filing dated as of November 12, 2019 ("**Mortgage**"), the Loan is secured by the property known as Shorter College Garden Apartments as more particularly described therein ("**Mortgaged Property**"). (RP 201-222).

On October 5, 2023, Lender also filed the Receiver Motion seeking a receiver for the Mortgaged Property – a remedy to which Borrower agreed and expressly consented under the Mortgage. (RP 201-222, 251-296). On October 20, 2023, Borrower filed its Verified Response to the Receiver Motion asserting that a receiver is unwarranted despite ***admitting its default*** (set forth above) under the Loan. (RP 302-312).

On October 27, 2023, Lender filed its Reply in support of the Receiver Motion, and on October 30, 2023, after the Receiver Motion was fully briefed by the parties, the Lower Court entered the Receiver Order appointing Trigild IVL, LLC ("**Receiver**") as receiver for the Mortgaged Property. (RP 313-318, 319-343). Immediately thereafter, the Receiver filed its Bond, took control of and commenced its operation of the Mortgaged Property as provided in the Receiver Order. (RP 319-346, 466-1169).

On November 3, 2023, Borrower filed its Motion to Vacate and Motion to Stay or Enjoin Enforcement of the Receiver Order ("**Motion to Stay**"). (RP 364-380, 349-363). On November 20, 2023, Lender filed its Opposition to Borrower's Motion to Vacate. (RP 398-408).

On November 6, 2023, Borrower filed its Verified Answer to the Complaint admitting execution of the Loan Documents, including the Mortgage under which Borrower agreed and consented to the appointment of a receiver, and, again, admitting its default thereunder. (RP 381-390).

On November 26, 2023, the Lower Court granted the Motion to Stay, staying execution and enforcement of the Receiver Order pending further Orders of the Lower Court (the "**Stay Order**"). (RP 426-427). Upon entry of the Stay Order and pending a ruling on the Motion to Vacate, the Receiver restored possession and

control of the Mortgaged Property to Borrower who has been operating the Mortgaged Property since that time.

On December 22, 2023, the Lower Court heard and ***granted*** the Motion to Vacate to enable the Lower Court and the parties to schedule an evidentiary hearing on the Receiver Motion, as requested by Borrower. (RT 1, 46, 47)

On January 2, 2024, Borrower filed its Notice of Appeal. (RP 1535-1536).

On January 16, 2024, the Lower Court entered the Vacation Order, and in accordance therewith, Borrower (not Receiver) has continued to possess, control, and operate the Mortgaged Property. (RP 1542-1544.)

On January 25, 2024, the record on appeal was lodged with this Court. (RP 1545). Borrower filed its Appellate Brief on March 18, 2024, and Lender's Appellee Brief due on April 17, 2024.

Argument

There is simply no pending legal controversy before the Court. The Stay Order restored control of the Mortgaged Property to Borrower pending further orders by the Lower Court, and the Vacation Order solidified continued control by Borrower by formally vacating the Receiver Order pending an evidentiary hearing by the Lower Court – the exact relief sought by Borrower under the Motion to Vacate and in this appeal. *See* Exhibit 1. (RP 1542-1544). All parties have abided by the Vacation Order since its entry, and Borrower maintains possession and control of

the Mortgaged Property. Accordingly, with no justiciable issue for determination by this Court, this appeal is moot and should be dismissed.

As a threshold matter on appeal, the appellate court must determine whether the subject appeal is moot. *Gray v. Thomas-Barnes,* 2015 Ark. 426, at 5, 474 S.W.3d 876, 879 (2015). This initial determination is required because, as a general rule, Arkansas appellate courts will not review issues that are moot. *Cotten v. Fooks,* 346 Ark. 130, 133-34, 55 S.W.3d 290, 292 (2001); *Forrest Constr., Inc. v. Milam,* 345 Ark. 1, 43 S.W.3d 140 (2001); *Dillon v. Twin City Bank,* 325 Ark. 309, 924 S.W.2d 802 (1996); *Ark. Dep't of Hum. Servs. v. Ledgerwood,* 2019 Ark. 121, 571 S.W.3d 1, 2 (2019).

To review moot issues would be to render advisory opinions, which the appellate court will not do. *Gray* at 879; *McCuen v. McGee,* 315 Ark. 561, 868 S.W.2d 503 (1994); *Walker v. McCuen,* 318 Ark. 508, 516, 886 S.W.2d 577, 582 (1994) (court also may not issue advisory opinions in anticipation of future litigation.) Courts do not sit for the purpose of determining speculative and abstract questions of law or laying down rules for future conduct. *Flow Doc, Inc. v. Horton,* 2009 Ark. 411, at 6, 334 S.W.3d 865, 870.

A case is moot when any judgment rendered would have no practical legal effect upon a then-existing legal controversy. *Cotten* at 292; *Gray* at 879 citing *Kinchen v. Wilkens*, 367 Ark. 71, 238 S.W.3d 94 (2006). In other words, a moot

case presents no justiciable issue for determination by the court. *Terry v. White*, 374 Ark. 387, 391, 288 S.W.3d 199, 202 (2008). Notwithstanding the above, the appellate court may elect to address a moot issue if it raises considerations of public interest or when addressing such issue will prevent future litigation. *See Stair v. Phillips*, 315 Ark. 429, 867 S.W.2d 453, 456 (1993).

Here, after the Receiver was appointed under the Receiver Order, the Receiver took control of the Mortgaged Property. Borrower filed its Motion to Stay and Motion to Vacate seeking to stay or vacate the Receiver Order and restore possession and control of the Mortgaged Property to Borrower pending an evidentiary hearing by the Lower Court. The Stay Order and Vacation Order did just that, and the Receiver returned control of the Mortgaged Property to Borrower pending further hearing (which is where things stand now in the Lower Court.)

Thus, Borrower's appeal, which seeks the same outcome – setting aside or vacating the Receiver Order pending the requested evidentiary hearing on the Receiver Motion – would have no practical legal effect on an existing legal controversy because that relief has already been awarded by the Lower Court. There is simply no justiciable issue or existing legal controversy before this Court. The Vacation Order renders this appeal moot.

Moreover, even if the Motion to Vacate was deemed denied and the Vacation Order determined to be void, any action on the Receiver Motion and Receiver Order

is still stayed under the Stay Order (with Borrower remaining in control of the Mortgaged Property) – the relief sought by Borrower here – pending further orders of the Lower Court (such as would be entered after an evidentiary hearing). In other words, whether vacated or stayed, the Receiver Order is unenforceable at this time, and no further action can be taken thereon until further hearing is had in the Lower Court.

Either way, this appeal is moot, and neither of the two exceptions to the mootness doctrine apply. This appeal does not involve a matter of public interest (as it pertains only to the subject parties and Mortgaged Property) and addressing such issue on appeal would not prevent future litigation (as an evidentiary hearing would be needed in the Lower Court whether the appeal is dismissed or not), and this Court must refrain from giving advisory opinions related to any future litigation or hearing on the Receiver Motion. *See Stair* at 456 citing *Scott v. McCuen*, 289 Ark. 41, 709 S.W.2d 77 (1986).

There is no present, actual controversy before this Court and no relief to be granted by this appeal that has not already been granted by the Lower Court, as the Receiver Order has already been vacated (or stayed) pending further proceedings. The sole effect of this appeal will be to delay further proceedings in the Lower Court on the Receiver Motion, and the appeal should be dismissed as moot.

Conclusion

For the above reasons, Plaintiff-Appellee Berkadia Commercial Mortgage LLC respectfully requests that the Court grant its Motion to Dismiss and enter its Order dismissing this interlocutory appeal as moot and awarding such other and further relief as this Court may deem just and appropriate.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I, Roger D. Rowe, hereby certify that on March 29, 2024, I electronically filed the above document using the Court's electronic filing system, which will automatically serve all Counsel of Record. On approval by the clerk's office, I will serve a paper copy of the same via U.S. Mail on the following:

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Honorable LaTonya Austin-Honorable
Sixth Judicial Circuit Judge
401 W. Markham, Room 410
Little Rock, AR 72201

/s/ Roger D. Rowe
Roger D. Rowe

Exhibit 1

(Vacation Order)

ELECTRONICALLY FILED
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IN THE CIRCUIT COURT OF PULASKI COUNTY, ARKANSAS
SIXTH DIVISION

BERKADIA COMMERCIAL MORTGAGE LLC **PLAINTIFF**

v. **CASE NO. 60CV-23-7618**

SC APARTMENTS AR, LLC **DEFENDANT**

ORDER GRANTING DEFENDANT'S MOTION TO VACATE OR SET ASIDE THE ORDER APPOINTING RECEIVER

On the 22nd day of December 2023, came for consideration Defendant's Motion to Vacate or Set Aside the Order Appointing Receiver ("**Motion to Vacate**") and Defendant's Emergency Motion for Clarification Regarding HUD Compliance and to Amend Order Appointing Receiver ("**Motion for Clarification**"). Defendant, SC Apartments AR, LLC, appearing by and through its attorney of record, Randy L. Grice of Hilburn & Harper, Ltd., and Alexis Beachdell of BakerHostetler and Kevin C. Susman, in house-counsel, and Plaintiff, Berkadia Commercial Mortgage LLC, appearing by and through its attorneys of record, Roger D. Rowe of Lax Vaughn Fortson Rowe & Threet, P.A. and Llynn K. White of Polsinelli PC, to hear Defendant's Motion to Vacate and Motion for Clarification. Having heard and considered the arguments of counsel and pleadings related to the Motions and upon the authority given to the Court under Ark. R. Civ. P. 60, the Court being sufficiently advised of the facts and law hereby FINDS and ORDERS, as follows:

1. This Court lacked authority to enter the Order Appointing Receiver dated October 30, 2023, because the foreclosure count was not included in the Complaint on file on that date, and

therefore to the extent necessary the Order Appointing Receiver is vacated and set aside pursuant to Ark. R. Civ. P. 60.

2. Defendant's Motion for Clarification is moot.

3. An evidentiary hearing will be set by the Court to consider Plaintiff's Ex Parte Verified Motion for Appointment of Receiver in light of Plaintiff's filing its Verified First Amended Complaint for Appointment of Receiver and Foreclosure.

IT IS SO ORDERED.

_____
Hon. LaTonya Austin-Honorable

_____
DATE

Prepared by:

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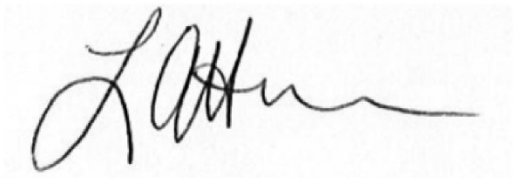
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Case Title: BERKADIA COMMERCIAL V SC APARTMENTS

Case Number: 60CV-23-7618

Type: ORDER MOTION GRANTED

So Ordered



Honorable LaTonya Honorable

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